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Amazon Makes Its Biggest Delivery Yet

The e-commerce giant valued mainly for sales growth is becoming a profit machine

By Dan Gallagher

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Amazon.com's operating income surged 93% in the first quarter. BLOOMBERG NEWS

Investors have come to expect big things from Amazon.com. Profits haven't always been among them.

That is quickly changing, as shown Thursday with solid first-quarter results.

Operating income surged 93% year over year to \$1.9 billion. That was more than double the company's growth in sales, which jumped 43% to \$51 billion. Amazon is steadily making more of its money from businesses that are more profitable than shipping boxes of goods to consumers.

Chief among those is its AWS cloud unit, which generated \$5.4 billion in revenue during the quarter. That was up 49% year over year. More notably, operating profits at AWS surged by 57% to \$1.4 billion.

AWS now comprises about 11% of Amazon's total revenue, but it makes 22% more in profits than Amazon's North American retail arm, which generates nearly six times the revenue. It also doesn't hurt that Amazon now owns a high-margin grocer in Whole Foods. Operating profit for the company's North American retail unit nearly doubled to \$1.1 billion.

Those numbers will be a relief to investors who already sent Amazon's stock up 30% this year. And it is worth remembering that Amazon's growth never comes cheap. Capital spending, which includes its outlay for equipment acquired under capital leases, jumped 33% year over year to nearly \$5.4 billion.

Another risk Amazon is facing these days is that Washington is taking more notice of the company's success. That could grow even sharper in light of the company's plans to boost its Prime membership fee to \$119. That price increase may ultimately prove costly.

Dan Gallagher is a former columnist for The Wall Street Journal's Heard on the Street, where he covered the technology and media industries. His work for the Heard column spanned the businesses of artificial intelligence, semiconductors, internet, software, hardware, advertising, streaming TV and film. Dan also wrote WSJ's AI &...

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